Larsen & Toubro (LT) — Stock Analysis Report

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1. Executive Summary

Short-term outlook: **Bearish** over 5 trading sessions; technical bias **bullish**; news sentiment **neutral**; risk level **Medium**.

2. Current Market Data

Last close	Change	Open	High	Low	Volume	Source
3,944.40	-3.80 (-0.10%)	3,939.60	3,987.70	3,923.80	2,494,060	yfinance

3. Historical Performance

1M return	3M return	1Y return	52W high	52W low	History
5.18%	-2.78%	0.51%	4,440.00	3,288.10	2021-11-08 → 2026-11-04

4. Technical Analysis

- RSI(14): RSI 65.9 is in the neutral zone (neutral)

- MACD: MACD is above its signal line (bullish)

- SMA(50): Price is above the 50-day moving average (3836.54) (bullish)

- SMA(200): Price is above the 200-day moving average (3930.62) (bullish)

- Trend (50/200): 50-day average is below the 200-day average (bearish)

RSI(14)	MACD	Signal	SMA 50	SMA 200	ATR(14)	Vol 20d (ann.)
65.95	29.302	-14.218	3,836.54	3,930.62	79.33	22.8%

5. Fundamental Analysis

Sector: Industrials · Industry: Engineering & Construction

- market cap ■5.57 lakh crore

- P/E 31.20

- forward P/E 22.48

- P/B 4.93

- dividend yield 0.96%

- ROE 17.9%

- debt/equity 105.29

- profit margin 5.8%

- revenue growth 16.9%

- earnings growth 32.5%

- beta 0.49

6. ML Prediction

Horizon	Outlook	P(up)	Confidence	Predicted price	Target date	Model version
1d	Neutral	52.4%	52.4%	3,953.11	2026-11-05	random_forest+ridge-h1-v2-232c3429
5d	Bearish	44.8%	55.2%	3,960.66	2026-11-11	random_forest+ridge-h5-v2-232c3429

7. Prediction Confidence & Backtesting

Method: walk-forward TimeSeriesSplit (5 folds, leakage gap = horizon).

Directional accuracy **52.3%** vs majority-class baseline 56.4% over 980 out-of-sample predictions. Price error: MAE 98.50, RMSE 130.23, MAPE 2.97% (naive no-change MAE 87.25).

8. Latest News

No recent news articles were found for this stock at generation time.

9. News Sentiment

Overall: **neutral** · index 0.00 · positive 0, neutral 0, negative 0.

10. RAG-Based Findings

No relevant documents were retrieved.

11. Risk Analysis

- Annualized volatility over the last year is 25.6%.

- Maximum drawdown over the last year was -24.3%.

- Historical 1-day 95% Value-at-Risk is 2.42% of position value.

- Model confidence is limited (55%); the forecast is uncertain.

- Historical directional accuracy is only 52%, close to chance.

- No recent news was available; event risk may be under-represented.

Level	Volatility (ann.)	Max drawdown 1Y	VaR 95% 1D	CVaR 95% 1D	Sharpe 1Y
Medium	25.6%	-24.3%	2.42%	3.72%	0.11

12. AI Agent Conclusion

Market data: LT last closed at 3944.4 on 2026-11-04 (-0.10% vs previous close; source: Yahoo Finance).

Over the last 1y the price moved +0.51% (range 3288.1–4440.0).

Technical signals (bullish): RSI 65.9 is in the neutral zone; MACD is above its signal line; Price is above the 50-day moving average (3836.54); Price is above the 200-day moving average (3930.62); 50-day average is below the 200-day average.

Company: Larsen & Toubro (Industrials). 52-week range 3288.1–4440.0, 1-year return 0.51%.

Valuation: market cap ■5.57 lakh crore, P/E 31.20, forward P/E 22.48, P/B 4.93, dividend yield 0.96%, ROE 17.9%, debt/equity 105.29, profit margin 5.8%, revenue growth 16.9%, earnings growth 32.5%, beta 0.49.

News: no recent news articles were found for this stock.

ML model: Bearish over 5 trading sessions — probability of a rise 45%, expected price ≈ 3960.66. Backtested directional accuracy: 52.3%. This is close to chance, so treat the signal as weak.

Risk (Medium): Annualized volatility over the last year is 25.6%. Maximum drawdown over the last year was -24.3%. Historical 1-day 95% Value-at-Risk is 2.42% of position value. Model confidence is limited (55%); the forecast is uncertain.

Conclusion: the signals are **mixed** (ML model: bearish, technicals: bullish), so there is no clear short-term edge. Risk level: Medium. This is probabilistic, not a recommendation, and can change quickly with new information.

13. Sources and Timestamps

Type	Title	Source	Published	Retrieved
market_data	Market price data	yfinance	2026-11-04	2026-11-05T18:45:46+00:00
model_output	ML prediction model	random_forest+ridge-h5-v2-232c3429	2026-11-05T18:45:52+00:00	

14. AI and Investment-Risk Disclaimer

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